EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Rizal is Cagayan's epic town, where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattle.

The Municipality is envisioned to be a model for academic excellence, public health and safety, environmental preservation and good governance, providing equal opportunity for all its constituents in a peaceful, friendly atmosphere through a God-centered leadership of the incumbent elected officials.

For CY 2020, the Municipality of Rizal had a total of 86 personnel complement with 71 permanent, 13 elective and 2 co-terminus.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Rizal, Cagayan for CY 2020 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2020, with comparative figures for CY 2019, are as follows:

	2020	2019	Increase/Decrease
Financial Position			
Total Assets	133,747,363.95	129,034,435.05	4,712,928.90
Total Liabilities	25,453,035.95	35,716,248.26	(10,263,212.31)
Total Government Equity	108,294,328.00	93,318,186.79	14,976,141.21
Financial Performance			
Total Revenue	105,347,088.32	85,811,287.11	19,535,801.21
Total Expenses	90,380,163.18	71,474,304.38	18,905,858.80
Appropriations, Allotments			
Total Appropriations-Current	95,701,993.00	85,766,957.00	9,935,036.00
Total Obligations	71,524,100.14	75,119,884.72	(3,595,784.58)

During the CY 2020, the Municipality of Rizal made a fund transfer of P200,000.00 to other local government unit and received a total of P35,881,160.65 from other government agencies, as follows:

	2020	2019	Increase/Decrease
Fund transfer to:			
Local Government Unit	200,000.00	-	200,000.00
Total	**200,000.00**	**-**	**200,000.00**
Funds Received from:			
National Government	35,631,160.65	18,079,000.00	17,552,160.65
Local Government	100,000.00	-	100,000.00
GOCCs	150,000.00	100,000.00	50,000.00
Total	**35,881,160.65**	**18,179,000.00**	**17,702,160.65**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2020 of Rizal, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the report.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations, which were not discussed with the concerned Management officials in an exit conference because of the pandemic:

1. **The One-time cleansing of Property, Plant and Equipment account was not undertaken contrary to COA Circular 2020-006 dated January 31, 2020, thus, the accuracy of the PPE account in the financial statements amounting to P69,830,078.73 cannot be verified.**

   We recommended that the Management comply strictly with the prescribed controls over PPE as provided for in pertinent laws, rules and regulations. We also recommended to Management the following:

   a. Instruct the Inventory Committee to conduct physical inventory of all PPEs of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station pursuant to COA Circular 2020-006 dated January 31, 2020;

   b. Update the property records based on the results of physical inventory, and reconcile with accounting records thru the Inventory Committee;

c. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

d. Direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE after the inventory taking pursuant to the Section 269 of the GAM for LGUs.

2. **Inter-Agency Receivables totalling to P4,227,272.16 were unreliable due to absence of documents or records that support the details of the transaction/s and the rightful names of government agencies, which is contrary to Items 6.1 and 6.2 of COA Circular No. 2016-005 dated December 19, 2016, thus, the propriety, validity and existence of Management's claim cannot be established.**

   We recommended that the Municipal Accountant give utmost priority in analyzing and determining the composition of the long outstanding Inter-Agency Receivables. Otherwise, comply with the provisions of COA Circular No. 2016-005 in requesting for the write-off of the long outstanding receivables.

3. **The accuracy and reliability of the receivable accounts for Real Property Tax and Special Education Tax totalling to P13,551,469.48 could not be ascertained due to the absence of a duly certified list showing the name of taxpayers and the amount due and collectible for the year, contrary to Item 3.26 of conceptual framework for General Purpose Financial Reporting of International Public Sector Accounting Standard and Section 42, Volume I of the Government Accounting Manual for LGUs, thus, rendering the collection targets unrealizable.**

   In view of the foregoing, we recommended the following to the Management:

   a. Require the Municipal Treasurer to furnish the Municipal Accountant a duly signed certified list showing the name of taxpayers and the amount due and collectible every beginning of the year for recording purposes;

   b. Instruct the Municipal Accountant to draw a JEV to record the RPT/SET receivables based on the certified list from the Office of the Treasurer and ensure that the recorded receivables are based on actual reference documents.

E. Remittance of GSIS Premium

The Municipality complied with the timely remittance of the amount of Social Insurance Fund (SIF) and Employees' Compensation Insurance Fund (ECIF) premium contributions to the Government Service Insurance System (GSIS) in accordance with R.A. 8291. The Due to GSIS account showed a balance of P202,030.00 as of December 31, 2020.

F. Compliance with tax laws

The Municipality complied with the correct withholding and timely remittance of taxes withheld in accordance with tax rules and regulations.

G. Summary of Total Suspensions, Disallowances and Charges

As of December 31, 2020, the Municipality of Rizal had unsettled suspensions totaling to P15,304,278.96. The unsettled balances pertain to previous years' issued Notices of Suspension, which were not yet settled since CY 2016. However, there were no unsettled balances or issued Notice of Disallowance or Charge for the year.

H. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 36 audit recommendations embodied in the CY 2019 Annual Audit Report, thirteen (13) were fully implemented, fourteen (14) were partially implemented and nine (9) were not implemented.